5. Per Capita Income (PCI)

Per capita Income or output per person is an indicator to show the living standard of people in a country. It is obtained by dividing the National Income by the population of a country.

Per capita Income = National Income / Population

In 1867-68 for the first time Dadabhai Navroji had ascertained the Per Capital Income in his book "*Poverty and Un-British Rule of India*".



6. Personal Income (PI)

Personal income is the total money income received by individuals and households of a country from all possible sources before direct taxes.

7. Disposable Income (DI)

Disposable income means actual income which can be spent on consumption by individuals and families, thus, it can be expressed as DPI = PI – Direct Taxes

(From consumption approach DI = Consumption Expenditures + Savings)

1.2 Gross Domestic Product (GDP)

Produced in the country: GDP of India includes only the market value of goods and services produced in India. For example the market value of apples produced in Kashmir are included in our GDP since Kashmir is in India. The market value of apples produced in California, even if they are sold in Indian markets, are not included in our GDP because California is in the U.S.

Produced during a time period

The GDP of a country measures the market value of goods and services produced only during the specified time period. The goods and services produced in earlier periods are not included.

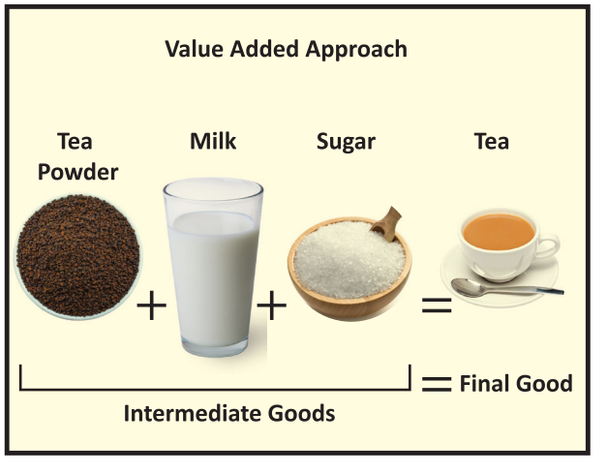
In India the GDP is measured both annually and quarterly. The annual GDP is for a financial year which is from April 1st of say 2017 to March 31st 2018.



The modern concept of GDP was first developed by Simon Kuznets for a US Congress report in 1934.

Methods of GDP Calculating

1. **Expenditure Approach:** In this method, the GDP is measured by adding the expenditure on all the final goods and services produced in the country during a specified period. Y = C + I + G + (X – M)
2. **The Income Approach:** This method looks at GDP from the perspective of the earnings of the men and women who are involved in producing the goods and services. The income approach to measuring GDP (Y) is Y = wages + rent + interest + profit
3. **Value-Added Approach:** A cup of tea served to you in a hotel is a "final good". The goods used to produce it , tea powder, milk, and sugar, are "intermediate goods" since they form a part of the final good, the cup of tea. One way to measure the market value of the cup of tea is to add the value produced by each intermediate good used to produce it. The sum of the value added by all the intermediate goods used in production gives us the total value of the final goods produced in the economy.



23_Economics_Unit_1_EM.indd 294 03-12-2022 18:32:22